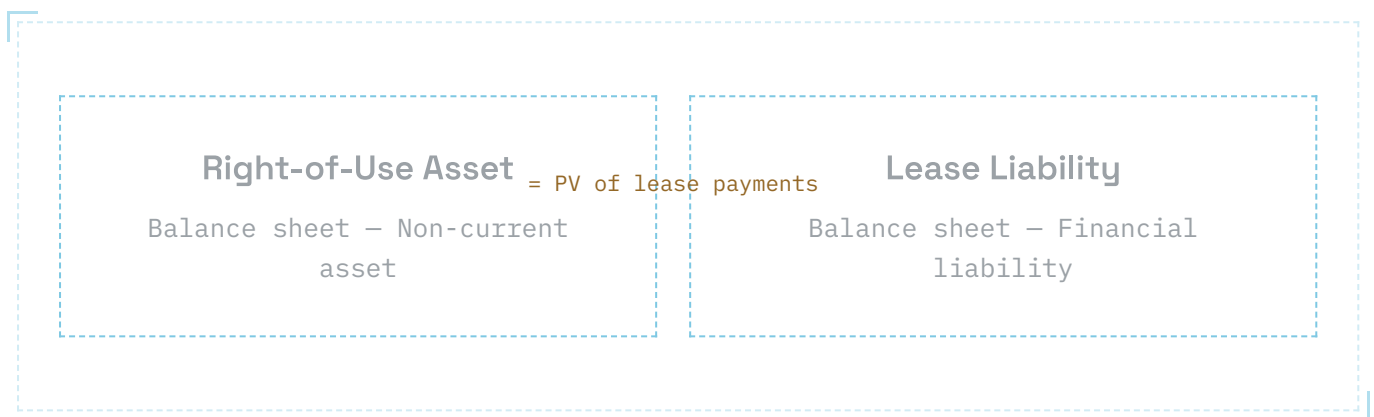


IFRS 16

Leases

A working drawing of how a lease turns into two balance sheet lines — the right-of-use asset and the lease liability — and where the judgment calls sit.



01 – The shift	→	02 – Recognition	→	03 – Discount rate	→
04 – Subsequent measurement	→	05 – Exemptions	→	06 – Worked example	→
07 – Audit red flags	→	Self-check	→		

What actually changed

Before IFRS 16 (under IAS 17), a lease was either a **finance lease** (on balance sheet) or an **operating lease** (off balance sheet — just an expense in the P&L, disclosed in a footnote).

Companies leaning heavily on operating leases — retailers, airlines, banks with branch networks — looked far less leveraged than they actually were.

IFRS 16 removed that distinction **for lessees**. With very narrow exceptions, almost every lease now creates:

Right-of-Use (ROU) Asset

The lessee's right to use the underlying asset for the lease term. Sits on the balance sheet, depreciated like any other asset.

Lease Liability

The obligation to make lease payments. Sits on the balance sheet, unwinds like a loan — interest expense plus principal repayment.

Key idea: a lease is now treated economically like buying the asset with borrowed money — even though legally you're still just renting it.

SHEET 02

Recognition & initial measurement

At the lease commencement date, the lessee recognises both sides of the diagram above.

Lease liability — initial measurement

$$\text{Lease Liability} = \text{Present Value of unpaid lease payments, discounted at the lease's discount rate}$$

"Lease payments" includes: fixed payments (less any lease incentives receivable), variable payments that depend on an index or rate (e.g. linked to inflation), amounts expected under residual value guarantees, purchase option price if reasonably certain to be exercised, and termination penalties if the lease term reflects an expected termination.

Right-of-use asset — initial measurement

ROU Asset = Initial lease liability

- + Lease payments made at/before commencement (less incentives received)
- + Initial direct costs incurred by the lessee
- + Estimated cost of dismantling/restoring the asset (if obligated)

Common confusion: the ROU asset is not simply "the liability mirrored." It picks up a few extra cost components the liability doesn't carry — prepayments, direct costs, and restoration provisions.

SHEET 03

Choosing the discount rate

This single input drives the whole model, and it's the first thing a reviewer should interrogate.

Rate implicit in the lease

+

Incremental Borrowing Rate (IBR)

+

Judgment risk: a rate set too low inflates both the ROU asset and liability. Reviewers should check the IBR build-up (base rate + credit spread + asset-specific adjustment) is documented and consistent across similar leases — not picked to hit a target ratio.

SHEET 04

Subsequent measurement

After commencement, the two balances move independently, on two different clocks.

ROU Asset

Depreciated (usually straight-line) over the shorter of the lease term or the asset's useful life. Also tested for impairment under IAS 36. Reduced by any remeasurements of the liability.

Lease Liability

Increased by interest expense (liability $\times$ discount rate) each period, decreased by lease payments made. Effectively a loan amortisation schedule.

Effect on the P&L

A single "rent expense" line is replaced by two lines: **depreciation** (straight-line — even) and **interest expense** (front-loaded — higher early, lower late, like any amortising loan). Total expense over the lease term is the same either way, but the pattern is now front-loaded rather than flat. This is one of the most commonly asked "why did EBITDA jump?" questions post-transition — interest moves below the EBITDA line, so EBITDA improves even though nothing operationally changed.

SHEET 05

The two exemptions

A lessee can elect, by class of underlying asset, to skip the whole ROU/liability model and just expense payments straight-line (like the old operating lease treatment) for:

Short-term leases

Lease term of 12 months or less at commencement, with no purchase option. Election is made by class of underlying asset.

Low-value assets

Assets that are low value when new (IFRS 16's own examples: laptops, small office furniture, phones — commonly benchmarked around US\$5,000 or less). This election can be made lease-by-lease.

Watch for: lease term itself is a judgment — it includes renewal periods the lessee is *reasonably certain* to exercise, and excludes termination periods it's reasonably certain *not* to exercise. A

12-month lease with a near-automatic renewal option isn't really a 12-month lease for this purpose.

SHEET 06

Worked example

A company leases a warehouse: 4-year term, GHS 200,000 payable annually in arrears, IBR of 15%, no initial direct costs or incentives.

$$\text{Lease Liability (initial)} = 200,000 \times [1 - (1.15)^{-4}] / 0.15 = \text{GHS } 571,096$$

Lease liability amortisation

Year	Opening liability	Interest @15%	Payment	Closing liability
1	571,096	85,664	(200,000)	456,760
2	456,760	68,514	(200,000)	325,274
3	325,274	48,791	(200,000)	174,065
4	174,065	25,935*	(200,000)	0

*Rounded to fully unwind the liability to nil at the final payment.

ROU asset depreciation

$$\text{Annual depreciation} = 571,096 / 4 \text{ years} = \text{GHS } 142,774 \text{ per year (straight-line)}$$

Notice the total year-1 P&L charge is 142,774 (depreciation) + 85,664 (interest) = GHS 228,438 — higher than the flat GHS 200,000/year an operating lease would have shown. By

year 4 the pattern flips and the IFRS 16 charge is lower. Over the full term, both approaches expense the same total.

SHEET 07

What a reviewer checks first

Completeness of the lease population	+
Discount rate consistency	+
Lease term judgment	+
Modifications & remeasurements	+
Low-value / short-term election consistency	+

SELF-CHECK

Five questions before you close the book

1. A company signs a 6-month equipment lease with an option to renew for another 6 months, which it fully intends to exercise. Can it use the short-term lease exemption?

REVEAL ANSWER

2. Why does IFRS 16 typically front-load lease expense compared to the old flat operating-lease rent expense?

REVEAL ANSWER

3. What's the difference between the rate implicit in the lease and the incremental borrowing rate?

REVEAL ANSWER

4. A lease is modified halfway through its term to add extra floor space at market rate. How is this treated?

REVEAL ANSWER

5. Does IFRS 16 change lessor accounting the same way it changed lessee accounting?

REVEAL ANSWER

IFRS 16 Study Blueprint – for personal study reference. Not a substitute for the full standard or professional advice on any specific transaction.